25STCV17758 25STCV17758

County: los-angeles

Division: Civil Law and Motion

Department: 731

Hearing date: 2026-09-01

Motion: MOTION TO FIX THE TERMS OF AND EFFECTUATE THE COTENANT BUYOUT ELECTED UNDER CODE CIV. PROC., § 874.317; AND, IN THE ALTERNATIVE, TO DETERMINE THE MANNER OF PARTITION UNDER §§ 874.318–874.319

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Case Number: 25STCV17758 Hearing Date: September 1, 2026 Dept: 731

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS

ANGELES - CENTRAL DISTRICT

SUSAN SCHWARTZ, an individual

and Trustee of the Survivor's Trust created under the Schwartz Family Trust

dated July 14, 2016,

Plaintiff(s),

vs.

RYAN SCHWARTZ, an individual

(also known as RHYAN SCHWARTZ); HALEIGH LE MOINE, an individual; MORTGAGE ELECTRONIC

REGISTRATION SYSTEMS, INC. (MERS), a Delaware Corporation; JOSE CORTES, an

individual; DART COLLATERAL MANAGER LLC, a Delaware limited liability company;

and DOES 1 through 10, inclusive,

Defendants.

AND OTHER PLEADINGS IN THIS

ACTION.

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CASE NO: 25STCV17758

[TENTATIVE] ORDER RE: MOTION
TO FIX THE TERMS OF AND EFFECTUATE THE COTENANT BUYOUT ELECTED UNDER CODE CIV. PROC., § 874.317; AND, IN THE ALTERNATIVE, TO DETERMINE THE MANNER OF PARTITION UNDER §§ 874.318–874.319

Dept. 731

September 1, 2026

8:30 a.m.

Matter No. 15

Moving Party: Defendant/Cross-Complainant, Ryan Schwartz

Opposing Party: Plaintiffs/Cross-Defendants, Susan Schwartz

Notice: OK

Background Facts

Pleadings

This action involves two pleadings disputing ownership, title, and alleged misconduct relating to the acquisition, financing, and attempted partition or sale of the real property located at 15027 Hartland Street, Van Nuys, California.

i. Plaintiff's First Amended Complaint

Plaintiffs Susan Schwartz, as an individual and as Trustee of the Survivor's Trust created under the Schwartz Family Trust dated July 14, 2016, sues Defendants Ryan Schwartz and a number of other persons, entities, and Doe defendants pursuant to an August 22, 2025, First Amended Complaint alleging claims for (1) Partition of Real Property and

(2) Breach of Contract.

Plaintiff alleges she alone contributed the $401,935.50 down payment used to acquire the Property and that she and Defendant hold equal 50% ownership, entitling her to an absolute right of partition. She further claims Defendant breached a separate written $50,000 loan agreement by failing to make any required payments. Plaintiff seeks a court-ordered partition sale, equitable adjustments relating to contributions and expenses, and contract damages.

ii. Ryan Schwartz's First Amended Cross-Complaint

In turn, Defendant Ryan Schwartz sues Plaintiff and a number of other persons, entities, and Roe defendants pursuant to a June 18, 2026, First Amended Cross-Complaint alleging claims 23 causes of action, including for (1) Cancellation of Instruments, (2) Quiet Title, (3) Slander of Title, (4) Constructive Trust, (5) Voidable Transfer, (7) Fraud, and (11) Financial Abuse of a Dependent Adult.

The Cross-Complaint alleges the Property was acquired using trust corpus belonging to Defendant, that Plaintiff concealed the true source of the down-payment funds, and that she and others diverted, disguised, or mismanaged trust assets. Defendant further alleges Plaintiff wrongfully recorded a quitclaim deed and an attorney-fee deed of trust to cloud his title and force a sale, while exploiting his status as a dependent adult by terminating his healthcare and using coercive tactics. Defendant prays for cancellation of instruments, confirmation of his 50% interest, and other equitable relief and money damages.

b. Motion Before the Court

Now before the Court is a partially opposed motion brought by Defendant Ryan Schwartz on June 2, 2026, seeking an order:

(1) Confirming that Plaintiff and Defendant each hold a 50% tenant-in-common interest in the Property;

(2) Setting the statutory buyout
price at $487,500 based on the Court's prior $975,000 valuation;

(3) Ordering that the interest
transferred to Defendant is taken free and clear of the Attorney's Fees Line of Credit Deed of Trust, with any attorney-fee recovery limited to partition-cost procedures and Plaintiff's share of proceeds;

(4) Setting a reasonable deadline
for depositing the buyout price, authorizing financing, and directing that title merge in Defendant as sole owner upon payment; and

(5) If the buyout cannot be
completed, determining that the proper alternative is partition in kind by allotting the Property entirely to Defendant with an equalizing payment to Plaintiff rather than ordering a forced sale.

Motion to Effectuate
Buyout

a. Requests
for Judicial Notice

The Court takes judicial notice of
Exhibits A-I and K-L attached to the moving papers pursuant to Code of Civil Procedure sections 452, subdivisions (c), (d), and (h), and 453, subdivisions (a)-(b).

The Court declines to take judicial
notice of minute orders attached to Exhibit J that are extrinsic to this legal action. (See People ex rel. Lockyer v. Shamrock Foods Co. (2000) 24 Cal.4th 415, 422 fn. 2 ["There is, however, a precondition to the taking of judicial notice in either its mandatory or permissive form—any matter to be judicially noticed must be relevant to a material issue"].)

The Court also declines to take
judicial notice of the exhibits attached to Defendant's reply papers. (See Hahn v. Diaz-Barba (2011) 194 Cal.App.4th 1177, 1193 [Additional evidentiary matter attached to a reply ordinarily should not be allowed, though courts have

discretion to consider such matter where it poses no prejudice].)

b. Reporter
Order

Pursuant to Defendant's August 25,
2026, request for court reporter by party with fee waiver, the Court grants the request for a court reporter.

c. Legal
Standard

A co-owner may bring an action for
partition.¿(Code Civ. Proc., § 872.210(a).) Partition is the procedure for segregating and terminating common interests in the same parcel of property. (Summers v. Superior Court (2018) 24 Cal.App.5th 138, 142.)

"If the court finds that the
plaintiff is entitled to partition, it shall make an interlocutory judgment that determines the interests of the parties in the property and orders the partition of the property and, unless it is to be later determined, the manner of partition." (Code Civ. Proc., § 872.720.) The manner of partition may be in kind (i.e., physical division of the property), by sale, or by appraisal. (Cummings v. Dessel (2017) 13 Cal.App.5th 589, 597.)¿The law favors partition in kind. (Id.) For that reason, traditionally, a court will
only order that the property be sold if (1) the parties agree to such relief or (2) a court determines that, under the circumstances, sale and division of the proceeds would be more equitable than division¿of the property. (Code Civ. Proc., § 872.820.)

However, in 2022, the California
Legislature enacted the Partition of Real Property Act (Code Civ. Proc., § 872.210, et seq.) ("PRPA").

The PRPA "applies
to real property held in tenancy in common where there is no
agreement in a record binding all the cotenants …
[and] govern[ing] the partition of the property." (Code Civ. Proc., § 874.311, subd. (b).) The "act applies to actions for partition of real property filed on or after January 1, 2023." (Id. at subd. (c).) "In

an action to partition real property, the property shall be partitioned under [the PRPA] unless all of the cotenants otherwise agree in a record." (Id. at subd. (a).)

Under the PRPA, if the cotenants fail to agree regarding the value of the Property or method of valuation, and "[t] the court determines that the evidentiary value of an appraisal is outweighed by the cost of the appraisal, the court, after an evidentiary hearing, shall determine the fair market value of the property and send notice to the parties of the value." (Code Civ. Proc., § 874.316, subd. (c).) "If the court orders an appraisal, the court shall appoint a disinterested real estate appraiser licensed in the State of California to determine the fair market value of the property assuming sole ownership of the fee simple estate. On completion of the appraisal, the appraiser shall file a sworn or verified appraisal with the court." (Id. at subd. (d).) "If an appraisal is filed with the court pursuant to subdivision (d), the court shall conduct a hearing to determine the fair market value of the property not sooner than 30 days after a copy of the notice of the appraisal is sent to each party under subdivision (e), whether or not an objection to the appraisal is filed under paragraph (3) of subdivision (e)." (Id. at subd. (f).) "After a hearing under subdivision (f), but before considering the merits of the partition action, the court shall determine the fair market value of the property and send notice to the parties of the value." (Id. at subd. (g).)

"If any cotenant requested partition by sale, the court shall, after the determination of value under Section 874.316, send notice to the parties that any cotenant except a cotenant that requested partition by sale may buy all the interests of the cotenants that requested partition by sale." (Code Civ. Proc., § 874.317, subd. (a).) "Not later than 45 days after the notice is sent under subdivision (a), any cotenant except a cotenant that requested partition by sale may give notice to the court that it elects to buy all the interests of the cotenants that requested partition by sale." (Id. at subd. (b).)

"If all the interests of all cotenants that requested partition by sale are not purchased by other cotenants pursuant to Section 874.317, … the court shall order partition in kind unless the court, after consideration of the factors listed in Section 874.319, finds that partition in kind will result in great prejudice to the cotenants as a group.” (Code Civ. Proc., § 874.318, subd. (a).)

Discussion

i. Request for Relief No. 1

As noticed, Defendant first seeks an order for: “Fractional interests. Determining that Plaintiff and Defendant each hold an undivided one-half (50%) interest in the real property at 15027 Hartland Street, Van Nuys, California (APN 2220-016-006) (the “Property”) as tenants in common — the fraction the Court must apply under section 874.317(c) to compute the buyout price.”

This relief is MOOT.

As argued in Plaintiff’s opposition (Opposition, 3:5-21), the relief sought is moot, as shown by the procedural history of this action.

Section 874.317, subdivision (c), provides that the purchase price for each of the interests of a cotenant that requested partition by sale is the value of the entire parcel determined under section 874.316 multiplied by the cotenant’s fractional ownership of the entire parcel.

Here, an appraisal under section 874.316 was conducted and discussed in the record in the April 7, 2026, minutes at page 16, wherein the Court set the value of the subject property at $975,000.00. (Apr. 7, 2026, Minutes, p. 16 [Accordingly, the Court GRANTS the Motion to Determine Value, and sets the value of 15027 Hartland St at $975,000].)

The same order also set a 45-day period through May 22, 2026, for Defendant to give notice to the Court that it elects to buy Plaintiff’s co-fractional share of 50%, with the price of $487,500.00 set by the Court. (Id. at pp. 2 [“Plaintiff in her capacity as Trustee of the Survivor’s Trust created under the Schwartz family Trust, owns a 50% interest in the Property. Plaintiff’s son, Defendant, owns a 50% interest in the Property”], 16-17 [“Under C.C.P. § 874.317, subd. (b), Defendant shall have 45 days (or until May 22, 2026) to give notice to the Court that it elects to buy Plaintiff's interest. Based on the Court's determination of the value, Defendant would be required to pay $487,500 to buy out his mother's share.].)

Then, on June 2, 2026, the Court entered a stipulation and order by the parties, which provides that "[o]n May 22, 2026, Defendant Ryan Schwartz ('Defendant') elected to buy all the interests of Plaintiff in the property located at 15027 Hartland St., Van Nuys, California, 91405, APN 2220-016-006" and that, "[p]ursuant to CCP § 874.317(e), Defendant will pay his apportioned buyout price of $487,500 (or 50% of the Court-adopted fair market value of $975,000) to the Court by September 30, 2026, which is more than 60 days from the date of this Stipulation and Order."

Under these circumstances, the determination sought in Request for Relief No. 1 is mooted by the June 2, 2026, stipulation and order signed by the Court.

Moreover, the Court briefly notes that the parties' pleadings are in agreement as to the fact that the property is owned by the parties as tenants in common with 50% interests a piece, lending confusion to the request for relief, which is regardless moot. (See, e.g., FAC, ¶ 27 & FACC, ¶ 47 [parties' pleadings re: interest in property at time of filing].)

ii. Request for Relief No. 2

Defendant's notice of motion next seeks relief as follows: "Buyout price. Determining that the price for Plaintiff's interest is $487,500, being the determination of value adopted April 7, 2026 ($975,000) multiplied by Plaintiff's one-half fractional ownership of the entire parcel (Code Civ. Proc., §§ 874.316, 874.317(c))."

The Court adopts its discussion in the preceding subsection to determine that the June 2, 2026, signed stipulation and order renders this Request for Relief MOOT given that the signed stipulation and order set the buyout price at $487.500.00.

iii. Request

for Relief No. 3

Defendant’s notice of motion next seeks relief as follows: “A transfer free of the captive DOT. Determining that Defendant takes Plaintiff’s interest free of the ‘Attorney’s Fees Line of Credit Deed of Trust’ (DOT) recorded by Talkov Law Corp. (Instr. No. 20250407190), which by its own cited authority encumbers only Plaintiff’s interest and attaches solely to Plaintiff’s share of the proceeds; and that no sum under that DOT is chargeable against Defendant’s payment or payable from escrow except to the extent the Court allows it as a cost of partition ‘for the common benefit’ under sections 874.010, 874.040, and 874.321.5 after noticed hearing.”

The Court DENIES this relief, without prejudice, for lack of ripeness. (Hunt v. Superior Court (1999) 21 Cal.4th 984, 998 [“… [T]he ripeness requirement prevents courts from issuing purely advisory opinions[] or considering a hypothetical state of facts in order to give general guidance rather than to resolve a specific legal dispute”].)

More specifically, under California partition law, when a buyout is initiated pursuant to section 874.317, the court does not consider offsets, encumbrances or lien issues, distributive shares, or cost apportionment at the initial stage of determining the buyout price. Rather, the statute merely provides that the purchase price for the buyout of a requesting cotenant’s interest is strictly set by statute as the value of the entire parcel (determined under section 874.316) multiplied by that cotenant’s fractional ownership of the entire parcel. (Code Civ. Proc., § 874.317, subd. (c).) The court then considers and accounts for offsets, encumbrances or liens, distributive shares, and cost apportionment only after the buyout transaction is completed and paid, or after the buyout process has failed and the court proceeds to resolve the partition action. In the first track, if the purchasing cotenants timely pay their apportioned price into the court, the court then issues an order reallocating the interests of the cotenants and “disburse[s] the amounts held by it to the persons entitled to them.” (Code Civ. Proc., § 874.317, subd. (e)(1).) On the other track, if no cotenant elects to buy the interests, or if the electing cotenants fail to timely pay the purchase price, the buyout fails under section 874.317, and the court will resolve the partition action under section 874.318. (Code Civ. Proc., § 874.318, subd. (a).) If the court ultimately orders a partition by sale under those subsequent proceedings, the proceeds of the sale are distributed in a strictly defined order of priority. (Code Civ Proc § 873.820.) Questions relating to offsets, encumbrances and lien issues, distributive shares, and cost apportionment, etc., cannot be addressed before that time for lack of ripeness.

iv. Request for Relief No. 4

Defendant's notice of motion next seeks relief as follows: "Payment period and financing. Setting a reasonable date by which Defendant shall pay the price into court (Code Civ. Proc., § 874.317(e)), authorizing Defendant to fund the buyout through third-party financing secured by the interest acquired, and directing that upon payment the interests reallocate and merge in Defendant as a 100% fee, with the clerk to execute any instrument necessary to effectuate the transfer (Code Civ. Proc., §§ 874.317, 872.120)

The Court finds this request MOOT, in part, and is otherwise DENIED, without prejudice, for lack of ripeness.

As for a court order "[s]etting a reasonable date by which Defendant shall pay the price into court," such a request is mooted by the June 2, 2026, signed stipulation and order, wherein the Court ordered, per the parties' agreement, that "Defendant will pay his apportioned buyout price" "by September 30, 2026." (Jun. 2, 2026, Stipulation and Signed Order, ¶ 2.) This request is therefore MOOT.

As for the portion of Request for Relief No. 4 seeking an order "authorizing Defendant to fund the buyout through third-party financing secured by the interest acquired, and directing that upon payment the interests reallocate and merge in Defendant as a 100% fee, with the clerk to execute any instrument necessary to effectuate the transfer," no subdivision of the cited authority—Code Civ. Proc., § 874.317—supports this relief. Moreover, courts do not consider offsets, encumbrance or lien issues, distributive shares, or cost apportionment until after the buyout transaction is completed and paid (Code Civ. Proc., § 874.317, subd. (e)(1)), or until after a buyout under section 874.317 fails and the Court orders sale pursuant to section 874.318. Request for Relief No. 4 is thus DENIED, without prejudice, for lack of ripeness, as to financing and reallocation.

v. Request

for Relief No. 5

Defendant's notice of motion last seeks relief as follows: "Alternative relief. In the alternative, should the buyout not be consummated, determining under sections 874.318 and 874.319, on the evidentiary record submitted herewith, that the manner of partition is in kind — by allotment of the Property to Defendant with an equalizing payment to Plaintiff under section 874.318(c) — rather than a forced sale."

This relief is DENIED, for lack of ripeness.

The alternative relief here is sought pursuant to sections 874.318 and 874.319, which are only applicable in this action if Defendant fails to deposit the buyout funds by the deadline of September 30, 2026. (Code Civ. Proc., §§ 874.318, subd. (a) [applicable if buyout under section 874.317 fails], 874.319, subds. (a)-(b) [factors to assist in determination under section 874.318].)

vi. Relief Sought Other Than Matters Noticed

The Court declines to consider any additional requests for relief in Defendant's papers not included in the notice of motion for relief.

The Court otherwise declines to consider requests for relief in Plaintiff's opposition papers, namely conditions on the relief requested by Defendant. (Kinda v Carpenter (2016) 247 Cal.App.4th 1268, 1273 [As a general rule, a judge may consider only the grounds stated in the notice of motion]; Luri v Greenwald (2003) 107 Cal.App.4th 1119, 1125-1126 [same].)

e. Conclusion

Defendant/Cross-Complainant Ryan Schwartz's motion to effectuate buyout, etc., is MOOT and DENIED as follows:

(1) MOOT as to Requests for Relief Nos. 1, 2, and the portion of 4 requesting an order "[s]etting a reasonable

date by which Defendant shall pay the price into court"; and

(2) DENIED, without prejudice, as to Relief Nos. 3, 5, and the portion of 4 requesting an order "authorizing Defendant to fund the buyout through third-party financing secured by the interest acquired, and directing that upon payment the interests reallocate and merge in Defendant as a 100% fee, with the clerk to execute any instrument necessary to effectuate the transfer."

Defendant/Cross-Complainant Ryan Schwartz is ordered to give notice.

Parties who intend to submit on this tentative must send an email to the court at indicating intention to submit on the tentative as directed by the instructions provided on the court website at www.lacourt.org. If the department does not receive an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. If a party submits on the tentative, the party's email must include the case number and must identify the party submitting on the tentative. If the parties do not submit on the tentative, they should arrange to appear remotely.

DATED: September 1, 2026 _____________________________________

MARK C. KIM

Judge of the Superior Court